

24STCV16465 24STCV16465

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Case Number: 24STCV16465 Hearing Date: September 22, 2026 Dept: 510

No.

10 – Swenson He, LLC v. Lothian Road WRX, Inc., et al.

Defendant

Grover Henry Colin Nix, IV's Motion for Judgment on the Pleadings

Defendant

Grover Henry Colin Nix, IV moves for judgment on the pleadings as to Plaintiff's second cause of action for implied covenant of good faith and fair dealing.

Request

for Judicial Notice

Defendant requests the Court take

judicial notice of its tentative ruling issued for the June 9, 2026 hearing on Defendant's demurrer.

Plaintiff requests the Court take

judicial notice of its two rulings on Defendant's demurrer and Plaintiff's motion for summary judgment.

The

Court will take judicial notice of the rulings on Defendant's demurrer and Plaintiff's motion for summary judgment, but not the tentative ruling, which is not a court record. The other two items are court records subject to judicial notice under Evidence Code section 452(d). Plaintiff's request for judicial notice is granted. Defendant's request for judicial notice is denied.

Motion

for Judgment on the Pleadings

In his motion, Defendant asks this Court to “address the legal consequence of its contract ruling.” (Motion, at p. 5.) Specifically, Defendant argues that there is a tension between the Court’s decision to sustain his demurrer as to Plaintiff’s cause of action for breach of contract, but overrule the demurrer as to Plaintiff’s implied covenant of good faith and fair dealing.

The

Court declines to revisit this issue for two reasons.

First,

Defendant recognizes that he may not bring a motion for judgment on the pleadings as to an issue raised in a prior demurrer. (See CCP § 438.) He concedes that his prior demurrer sought to defeat Plaintiff’s claim on “substantially similar grounds” (Motion, at p. 7), but invites the Court to view this motion as a common law motion for judgment on the pleadings. Defendant cites several cases that supposedly confirm that consideration of a “common law” motion for judgment on the pleadings may still be available to trial courts; however, none of the cases cited support the conclusion that the Court may consider a common law motion for judgment on the pleadings made on the same ground as raised in a prior demurrer.

Second,

Defendant invites the Court to exercise its inherent authority to reconsider its prior order on its own motion. The Court has inherent constitutional power sua sponte to reconsider, correct, and change its own interim decisions. (Le Francois v. Goel (2005) 35 Cal.4th 1094, 1107.) The Court declines to reconsider its prior order here. Notably, this Court’s prior order explained that the agreement bound both Defendant Lothian Road WRX, Inc. and Grover Henry Colin Nix, IV to perform under the contract. This Court held:

The agreement binds both Lothian Road WRX, Inc. and Grover Henry Colin Nix, IV to perform various obligations. For example, the settlement agreement states that it is “between Swenson He, LLC and SH Fund I, L.P. (hereinafter, connectively [sic] “Claimants”) and Grover Henry Colin Nix, IV and Lothian Road WRX, Inc. (hereinafter, “Respondents”).” (Id., at p. 1.) In addition, paragraph 17 of the agreement states: “A Party breaching any

acknowledgement, warranty, payment obligation, and/or representation in this Settlement Agreement and Release shall hold the other Parties harmless from any such breach." (Id., at p. 8.)

(6/9/26 Minute Order.)

While Defendant Grover Nix

may not have owed a specific payment obligation, this does not mean he did not have other duties under the contract that could imply unfair dealing. The FAC alleges that Defendant Nix was the one who acted on behalf of Defendant Lothian Road WRX, Inc. as president, and made various representations that were untrue, including a representation of an intent to pay. (See FAC, ¶¶ 10, 15, 19-20.) At the pleading stage, these allegations support a separate claim for implied covenant of good faith and fair dealing. There is nothing for the Court to reconcile in its prior order.

Disposition

Defendant

Grover Henry Colin Nix, IV's motion for judgment on the pleadings as to Plaintiff Swenson He, LLC's second cause of action in its first amended complaint is denied.